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SUSTAINABLE PROCUREMENT
BALANCING PROFIT AND PLANET

Rethinking Business for a Greener Future

Sustainable procurement is becoming essential as businesses face pressure to balance profitability with environmental responsibility. Companies are now expected not only to generate profits but also to reduce their impact on the planet. This approach considers environmental, social, and governance (ESG) factors alongside cost and quality. It is transforming how organizations operate and raising an important question: can businesses truly stay profitable while protecting the environment?

Supply Chains Hold the Key

A large share of a company's environmental impact comes from its supply chain, especially suppliers. This makes procurement a powerful driver of sustainability.

Companies like Unilever work closely with suppliers to ensure responsible sourcing, reducing environmental harm such as deforestation. These actions show how procurement decisions can influence sustainability beyond internal operations.

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Circular Economy in Action

A strong example of sustainable procurement in practice is the IKEA Circular Hub, where used or returned furniture is repaired, reused, and resold instead of being discarded. This initiative reduces waste, extends product life cycles, and lowers the need for new raw materials. At the same time, it creates additional revenue streams and attracts environmentally conscious customers. This shows how circular procurement models can benefit both the environment and business profitability.

Challenges and the Way Forward

Despite its benefits, sustainable procurement comes with challenges such as limited data, lack of expertise, and difficulty tracking supply chain emissions. Smaller suppliers may also struggle to meet sustainability standards. However, companies can overcome these issues by setting clear goals, using data-driven strategies, and collaborating with partners.

sustainable procurement shows that businesses can balance profit and environmental responsibility. Through responsible sourcing, circular initiatives like IKEA, and strong supplier collaboration, companies can reduce impact while creating value. Ultimately, sustainability is not a limitation but a powerful strategy for long-term growth and competitive advantage.

SUSTAINABILITY
IS NO LONGER
A CHOICE
IT IS THE
FOUNDATION
OF FUTURE BUSINESS
SUCCESS